

Cindergrove Advisors Inc

www.cindergroveadvisors.com

June 11, 1998

Mr. Adam Cook, Director of Operations, Ramos, Gill and Garcia

Re: Distribution Network Review

Dear Mr. Cook:

Thank you for the courtesy you and your staff extended during our visit. This letter confirms that Ramos, Gill and Garcia has engaged Cindergrove Advisors Inc to conduct a review of your distribution network. The purpose of the engagement is to examine the flow of product from your plants through your warehouses to your customers, to identify where cost and delay enter that flow, and to recommend practical changes that your own people can carry out and sustain.

Our approach will be straightforward. We will begin with your shipping and freight records, walk each warehouse in person, and interview the supervisors responsible for scheduling and carrier selection. Findings will be reduced to writing before any recommendation is made, and we will review our observations with you at each step, so that nothing in the final report comes to you as a surprise.

Kimberly Price, Senior Consultant, will direct the work and will be your day-to-day contact. She will be assisted in the field by Andrea Diaz, Consultant, who will handle the site visits and the assembly of the working papers. I will review all written work before it leaves this office and will remain available to you throughout the engagement.

Fieldwork will commence on June 21, 1998, and we expect the engagement to run approximately four months. Our fee for the work described above is a fixed fee of \$85,000, payable in monthly installments upon invoice, plus reasonable out-of-pocket travel expenses billed at cost. No expense of consequence will be incurred without your prior approval.

If these terms are acceptable, please sign in the space provided below and return one copy to our office by fax or by mail. We appreciate the confidence Ramos, Gill and Garcia has placed in our firm, and we look forward to the work. Very truly yours,

Carlos Griffith

President

Date: June 11, 1998

Adam Cook

Director of Operations, Ramos, Gill and Garcia

Date: June 11, 1998